Meta Platforms, Inc.

META NASDAQ

Buy	$706.49 ▲ 1.76%	12M Price Target	52-Week Range	Market Cap
		$820.00	$520.26 – $779.82	$1.80T

META: AI Spend Fears Create Entry, Policy Mostly Benign

WHAT HAPPENED

- Stock bounced +1.76% today after four straight red days — it fell from $736 to $694 in a week, so this is a bounce off oversold levels, not a trend change. The volume on today's bounce (9.5M) is HALF the recent average, which tells me buyers aren't exactly pounding the table — this is more "no sellers left" than "real demand."
- Options flow is leaning bullish (put/call 0.58, meaning way more call buyers than put buyers) with unusual call activity at $710 — someone's betting on a quick snapback into earnings next week.

WHY IT MATTERS

Here's the real story: META sold off hard the last two weeks on growing anxiety about AI capex — the market is terrified that Meta is going to spend $70-100B next year on data centers and GPUs with no clear ROI. The COO dumped ~$850K in shares on Oct 12 right near the recent highs, which doesn't scream "we have great news coming." BUT — and this is important — the regulatory environment under the current admin is actually the friendliest it's been for Big Tech in years: antitrust enforcement has gone quiet, the "repeal Section 230" push has died down, and the AI executive order focus has shifted from "safety" to "beat China." That means Meta's core profit engine (ads) keeps printing while policy risk fades — the only real question is whether Zuck's AI spending is genius or a bonfire.

POLICY & POLITICAL WATCH

Watch two things: (1) The Kids Online Safety Act (KOSA) is still floating around Congress — if it passes with teeth, it hits Instagram engagement and ad targeting for teens, which is a real revenue headwind. (2) The EU Digital Markets Act keeps producing fines (Meta's already been hit multiple times) and the "pay or consent" ad model is under attack in Brussels — that's a slow bleed on European ad revenue. On the positive side, the administration's hands-off approach to AI regulation means Meta can keep open-sourcing Llama models and scaling without the compliance drag that was threatened under the previous AI executive order (which got rescinded).

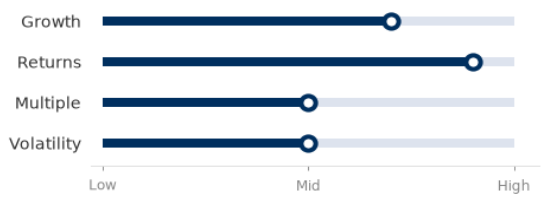
IS IT EXPENSIVE?

At $706 and ~25x forward earnings, you're paying $25 for every $1 of profit Meta is expected to make next year — that's actually REASONABLE for a company growing earnings 15%+ with 40% operating margins. Compare that to Microsoft at ~32x or Nvidia at ~35x and META looks cheap on a quality-adjusted basis. The catch: if AI capex keeps climbing and depresses free cash flow, that "cheap" multiple expands quickly because the "E" shrinks — valuation hinges almost entirely on whether Reality Labs and AI infrastructure spending stays disciplined.

Key Data

Price (USD)	**$706.49**
12M Price Target	**$820.00**
Upside / (Downside)	**+16.1%**
Market Cap	**$1.80T**
FY2026E Revenue	**$196M**
FY2027E Revenue	**$223M**
FY2026E EPS	**$27.80**
FY2027E EPS	**$31.50**
Fwd P/E	**25.4x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

META — Meta Platforms, Inc. | October 21, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$760.00**	$720.00	**$670.00**
6 Months	**$820.00**	$750.00	**$630.00**
1 Year	**$900.00**	$820.00	**$600.00**
2 Years	**$1100.00**	$900.00	**$550.00**
5 Years	**$1500.00**	$1100.00	**$500.00**
10 Years	**$2200.00**	$1500.00	**$450.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech bounced +1.86% today after a rough week — this feels like dip-buying ahead of mega-cap earnings. Consumer Discretionary up 4% over 5 days signals the market thinks the consumer is okay (good for ad spending — directly helps META).

COOLING OFF: Materials and defensive sectors are lagging the bounce, suggesting risk-on is back in favor short-term.

ROTATION WATCH: Money is tiptoeing back into mega-cap tech after a nervous October — if earnings from Microsoft, Google, and Meta all deliver, this becomes a full-blown rotation. If any of them disappoint on AI monetization, money flees fast.

RELATED PLAY: If you're bullish META's AI buildout, the picks-and-shovels play is Arista Networks (ANET) for data center networking or Vertiv (VRT) for data center cooling and power — those benefit whether or not Meta's AI investments eventually pay off.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Riding the same ad-recovery wave as META plus Gemini AI gaining credibility — ad duopoly is quietly healthy.
- NFLX (Netflix): Streaming ad tier is scaling, taking share from traditional TV budgets that would otherwise go to Meta — worth watching as a competitive signal.

META CONTEXT: META is lagging mega-cap peers this month (down ~4% from Oct 15 while the Tech sector is roughly flat), which tells me the pain here is company-specific — it's the AI capex anxiety, not a market-wide tech problem. That's actually bullish setup: idiosyncratic selloffs into a known catalyst (earnings) often reverse hard when the catalyst clears.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: $680-700 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Ad revenue growth drops below 10% or AI capex balloons past $100B without ROI visibility

Hedging: Buy protective puts around earnings or pair with a short on a pure-play AI infrastructure name

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